

average person in the population. Remember that if the mortality rate is lower, fewer people from this group are dying prematurely, which means that they have greater odds of reaching an advanced age of 90 or even 100.

My main point is that the *true* probability of living and dying is never knowable and very much depends on specifics. The best we can do is to rely on generalized estimates.

Sometimes in this book I will select either the pessimistic, optimistic, or moderate estimate and only display that number, just to make a point or to put the number in perspective. Table 2.3 shows the impact of the assumption on the survival chances.

TABLE 2.3 What Are The Chances of Dying During the Next Ten Years?

Current Age	Optimistic Estimate		Pessimistic Estimate	
	Male	Female	Male	Female
40	1.9%	1.0%	3.7%	2.1%
50	4.8%	2.7%	8.1%	5.0%
60	10.6%	6.7%	18.9%	12.2%
70	27.1%	18.0%	39.5%	27.2%
80	56.6%	48.3%	73.3%	59.7%

Source: U.S. Social Security and 1996Annuity 2000 mortality tables; IFID Centre calculations.

As you can see, according to both optimistic and pessimistic tables, the probability of dying during the next 10 years is much higher at age 80 than at age 40. Using optimistic estimates, an 80-year-old female faces nearly a 50% probability of dying during the next 10 years. Effectively, this means that roughly half of the 80-year-old females alive today will not survive 10 years.

A sad thought, but does that mean that an 80-year-old female should have a huge life insurance policy, because she is quite likely to die soon? No, absolutely not! It all comes down to the value of human capital, and not necessarily the odds of death.